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## WHAT IS A TRENDLINE?

**A trendline** is a line that you draw on a chart to connect the highs or lows of price movements.

### There are three kinds of trendlines:

1) **Outer trendlines:** These are **drawn on longer timeframes** like daily, weekly, and monthly charts.

2) **Inner (a) trendlines**: These are **drawn on medium timeframes** like 4-hour and 1-hour charts.

3) **Inner (b) trendlines:** These are **drawn on shorter timeframes** like 15-minute, 10-minute, and 5-minute charts.




**Let's look at this chart for a moment…**

The **green trendline is my outer trendline**, **the yellow my inner trendline 1** and **the red my inner trendline 2.** If you can check price always respects these trendlines.

### Remember:

1. **First, go with the trend. It's usually your best bet.**

2. **Second, think of Support and Resistance more as areas where prices bounce (or zones where prices have been rejected), not just straight lines.**

3. **Third, for a good trendline, it needs to be touched at least twice by the price.**

**I'll also teach you how to spot when a trend is losing steam, so you can cash in your gains.**

4. **Follow this rule: Only enter a trade when the price bounces off the trendline for the third time, unless you've accurately analysed your chart and seen an opportunity to enter.**

***Be keen on that**

**Rule number 5: How well you manage the risks of trading will determine your success. If you have a small account, don't use a large stake.**

***Don't forget that**

**Rule number 6: Don't follow the price, let it come to you So that's a summary of the trendline lesson. More of the details you can either continue researching or join the Infinity group for the technical skills.**

**Let's now go back to learning how to develop a Trading Strategy Using Technical Analysis – Focusing on Price Movements…**

**As I earlier shared;**

**Imagine a trading channel like a flat area where the price is going up and down within two set levels. Now, picture that flat area bending into a diagonal line.**




**Above is basically what a channel looks like. If the line goes up, it's called an "ascending channel." If the line goes down, it's called a "descending channel."**

**When you look at those two channels, it's easy to see that they have a lot in common, but not entirely similar to the trends.**

**But just as in trends trading, the lower channel line is considered support and the upper channel line is considered resistance.**

***Try to remember that.**

**When making trades using a trendline, make sure the trendline is accurate. It's valid if the price has touched and followed the trendline at least three times. Check the image below for an example...**

When looking at a chart, it's important to connect at least three points to create a trendline. Connecting only two points might not be reliable. When there are three points connected by a line, it shows that the price level is acting as support or resistance. This means it's a more reliable trendline compared to one made of only two points. Check the next chart for an example...






**So, my good people I'll stop at that.**

**I'll stop at that. We are not in a hurry let's take our time.**

**Process that information and use it to your advantage on trends. You can use that knowledge to trade, Rise/ Fall, Bullish/ Bearish market, tweak to your style and create a unique strategy for other markets like over/ under and Even/ Odd.**

**Be a smart trader not a gambler, and the most important thing, earn while you learn.**

**Have a splendid Day** 👍

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